

Factors Determining Demand

An overview of the key influences on individual and market demand.

Defining Demand

Individual demand and market demand are influenced by a variety of factors. This presentation will explore these key determinants.

Individual Demand (1)



Price of the Commodity

The main determinant. Demand is higher at a low price and lower at a high price, showing an inverse relationship.



Income of the Consumer

Demand is directly related to income. Higher income leads to greater demand for a product, and vice versa.

Individual Demand (2)



Tastes and Preferences

A subjective factor influenced by habits, culture, and history. Demand for goods like coffee or fancy cars is driven by preference.



Prices of Related Goods

Demand is affected by the prices of substitutes (e.g., tea vs. coffee) and complementary goods (e.g., car and petrol).

Related Goods Explained

Substitute Goods

If the price of one good (e.g., coffee) increases, the demand for its substitute (e.g., tea) will increase.

Complementary Goods

If the price of one good (e.g., petrol) increases, the demand for its complement (e.g., car) will decrease.

Individual Demand (3)

Future Expectations

If consumers expect a price to rise in the future, current demand will increase.

If prices are expected to fall, consumption is postponed.



Market Demand



Factors that influence the total demand from all consumers in a market.

Market Demand (1)



Changes in Weather

Demand for items like cold drinks and ACs rises in summer, while demand for woolen clothes rises in winter.



Changes in Fashion

Demand for a good will be higher if it is currently in fashion, and lower if it is not.



Size of Population

An increase in population leads to an increase in the demand for various goods and services.

Market Demand (2)



Money Circulation

If the supply of money in the economy is high, overall demand for goods will be more, and vice versa.



Technological Changes

New technology creates new goods (e.g., computers) that replace old ones (e.g., typewriters).

Market Demand (3)

Discovery of Cheap Substitutes

The availability of new, cheaper substitutes will affect the demand for existing goods.

For example, polythene bags have affected the demand for jute bags.



The Role of Advertising



Advertisement has a significant impact on the consumption of the people in the modern day.



(Applies to both Individual & Market Demand)

A persistent campaign influences demand for goods like soaps, shampoos, and electronics, and can increase overall demand.

Questions?

Thank you.

Image Sources



<https://media.istockphoto.com/id/502644724/photo/fortune-teller-businessman-sees-rising-graph-in-a-crystal-ball.jpg?s=612x612&w=0&k=20&c=H6KdabCVNJ8H-SmsBdPtObDLyNxKWYWTYnVb5bteVrU=>

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